INTERNAL CONTROLS

# 8 warning signs of weak internal controls

Has your business outgrown informal oversight?

THE PROBLEM

# Owner oversight stops scaling before you notice

As headcount and transactions grow, one person can no longer check everything.

SIGNS 1 TO 4

# Gaps in daily money handling

1

## One person controls a whole transaction

No independent check

2

## Bank reconciliations run late

Irregular or delayed

3

## Petty cash lacks support

Claims approved without documents

4

## Stock counts rarely reconcile

Counts are rare or messy

SIGNS 5 TO 8

# Gaps in oversight

1

## Master data changes freely

Vendor and payroll, no second approval

2

## Reports are not reviewed

Produced, rarely questioned

3

## Growth outpaced process

Little is documented

4

## No control review, ever

Despite scaling

Swipe →

WHY IT MATTERS

# Weak controls surface in buyer due diligence

Gaps found late damage timelines and trust. Fixing them early is far cheaper.

KEY TAKEAWAYS

# Four points to remember

- Owner oversight breaks as volume grows
- Controls need to fit your size, not be elaborate
- Second approvals and regular reconciliations go far
- Fix gaps before a buyer finds them

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READ AND BOOK

# Read the full article

veritasadvisory.com.np/insights/why-growing-businesses-need-better-internal-controls →

Book a free consultation

General information only, not advice. Veritas Strategic Advisory, Banasthali, Kathmandu.